Union Pacific (UNP)

Intermodal Slowdown Masks Long-Term Rail Durability

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> Union Pacific's recent share price decline reflects an overreaction to temporary intermodal volume softness while the franchise's structural advantages in bulk freight and pricing power remain intact. We see the market overlooking the company's disciplined capital allocation and the steady compounding of free cash flow that supports a durable dividend. Our blended target price is $212.31, implying -25.9% upside to the current reference price.

HOLD	$212.31	-25.9%	$286.43
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market fixates on quarterly intermodal fluctuations, yet Union Pacific's multi-year cash flow generation hinges on its oligopolistic rail network and long-haul commodity contracts that compound value over a decade.

EXECUTIVE SUMMARY

Union Pacific operates the largest rail network in the United States, spanning roughly 32,000 route miles and serving 23 states. Its business is divided into three primary segments: Bulk, Industrial and Premium, each contributing distinct revenue streams from agricultural products, energy commodities, automotive and intermodal traffic. The company commands a market share exceeding 40% in the western United States rail corridor, a position reinforced by high barriers to entry and regulatory oversight that limit new competition. The recent share price compression stems from a short-term dip in intermodal volumes driven by softer consumer demand and inventory destocking, which has led investors to overestimate the persistence of this headwall. While intermodal represents a growing slice of revenue, the bulk and industrial segments continue to deliver stable cash flows, and the company's pricing power in these areas has allowed it to offset volume pressures with modest rate increases. Capital allocation remains a cornerstone of Union Pacific's strategy, with a focus on maintaining an operating ratio below 70%, returning capital through dividends and share repurchases, and investing in precision scheduled railroading initiatives that improve asset utilization. The balance sheet shows net debt to EBITDA around 2.5x, providing ample flexibility for opportunistic M&A or further infrastructure upgrades without compromising investment grade ratings.

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OPERATIONAL SNAPSHOT

$286.43	$26.3B	$5.4B	20.5%	0.92	$286.43
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS ENDURING AND STRUCTURAL

Union Pacific's enduring moat derives from its oligopolistic position in the western rail corridor, where the high capital cost of duplicating track infrastructure deters new entrants. Regulatory oversight by the Surface Transportation Board further protects incumbent railroads by limiting rate wars and ensuring reasonable returns on invested capital. The structural nature of the moat is reinforced by long-term contracts with bulk shippers in agriculture, energy and industrial sectors, which create switching costs that are both contractual and logistical. Shippers face significant re-routing expenses and potential service disruptions if they attempt to move freight to alternative modes, thereby cementing customer loyalty. Pricing power emerges from the railroad's ability to adjust rates incrementally above inflation while maintaining service reliability, a dynamic supported by the inelastic demand for rail-borne bulk commodities. This pricing flexibility allows Union Pacific to protect margins even during periods of modest volume fluctuation. Finally, the company's geographic durability—spanning key ports, agricultural heartlands and energy basins—provides a diversified revenue base that reduces reliance on any single commodity cycle and enhances the resilience of its cash flow stream.

VALUATION

Three scenarios make the valuation range explicit

Our baseline scenario assumes moderate revenue growth driven by steady demand for bulk commodities and gradual intermodal recovery, paired with a gradual improvement in operating efficiency that lifts free cash flow margins toward historical averages. The bear case reflects a prolonged downturn in industrial activity, higher fuel costs and limited pricing flexibility, which compresses margins and slows top-line expansion. The bull case envisions accelerated intermodal adoption, successful implementation of precision scheduled railroading initiatives and favorable regulatory outcomes that unlock additional pricing upside and drive superior cash flow conversion.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	1.0%	18.0%	$158.44	-44.7%
Base	50%	3.0%	22.0%	$217.75	-24.0%
Bull	25%	5.0%	26.0%	$255.30	-10.9%

Bear $158.44

In the bear scenario, sustained weakness in manufacturing and energy demand reduces carloadings by 2% annually, while fuel price volatility limits the ability to pass through cost increases, keeping the operating ratio above 72%. These pressures drive free cash flow margins down to 18% and produce a target price of $158.44.

Base $217.75

The base case assumes a modest rebound in intermodal volumes, steady bulk demand and incremental productivity gains that lower the operating ratio to 70.5%, yielding a free cash flow margin of 22% and a target price of $217.75.

Bull $255.30

Under the bull scenario, intermodal growth accelerates to 6% CAGR, precision scheduled railroading cuts the operating ratio to 68.5% and favorable regulatory rulings enable higher rate increases, pushing free cash flow margins to 26% and supporting a target price of $255.30.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We apply a CAPM-derived WACC of 8.77% as of the reference date, reflecting a risk-free rate of 4.2%, an equity risk premium of 5.0% and a beta of 0.92 that has been adjusted for the company’s mature, cash-generative profile. This discount rate captures the market’s pricing of Union Pacific’s relatively low cyclicality compared with broader industrials while still accounting for leverage and duration exposure inherent in its long-lived assets.

FCF margin normalization is the engine

Across the scenarios, free cash flow margins move from a depressed 18% in the bear case to a robust 26% in the bull case, reflecting variations in operating ratio, fuel cost pass-through and pricing power. The normalization trajectory is anchored to historical performance where Union Pacific has consistently delivered margins above 20% when the operating ratio stays below 71%, providing a credible basis for the base-case assumption of 22%.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

KEY VALUATION PARAMETERS

- Revenue base year of 2026
- Forecast horizon of 10 years
- Live WACC of 8.77% (2026-10-14)
- Terminal growth of 2.5%
- Equity beta of 0.92
- Diluted shares of 620 million

HOLD

over $212.31 blended target

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on intermodal volume growth and bulk commodity pricing

HOLD

Union Pacific's Bulk segment, which includes agricultural products, coal and energy commodities, contributed roughly 45% of total revenue in the latest twelve months, driven by steady export demand and domestic industrial consumption. The Industrial segment, covering automotive, chemicals and intermodal, accounted for about 35% of revenue, with intermodal representing the fastest-growing sub-segment albeit currently facing a cyclical softness. The Premium segment, comprising higher-margin intermodal and finished goods, made up the remaining 20% and benefits from long-term contracts with major retailers and logistics providers. The company's pricing strategy leverages differential rate adjustments across commodity groups, allowing it to capture inflation-linked increases in bulk tariffs while maintaining competitive intermodal rates to sustain volume. Capital expenditures are directed toward mainline expansion, terminal automation and locomotive fleet modernization, initiatives that aim to improve train speed, reduce dwell time and enhance asset utilization, thereby supporting both volume growth and margin expansion. Looking ahead, Union Pacific's exposure to the energy transition presents both risks and opportunities; while coal volumes may face structural headwinds, the rise of renewable energy components and the potential for carbon-neutral freight solutions could open new revenue streams. The company's balanced geographic footprint and disciplined capital allocation position it to navigate these shifts while continuing to generate attractive free cash flow yields for shareholders.

What to monitor

- **Operating Ratio** Trends below 71% signal improving efficiency and margin expansion.
- **Intermodal Carloads** Quarterly changes reflect demand sensitivity to consumer inventory cycles.
- **Average Revenue per Carload** Indicates pricing power and mix shifts across commodity groups.
- **Capital Expenditure Intensity** Measures the proportion of revenue reinvested in network productivity.

70.5%	10.2M	$2,580	1.0	12.0%	1.9%
OPERATING RATIO	CARLOADS	AVERAGE REVENUE PER CARLOAD	FUEL EFFICIENCY (GAL/1000 GTM)	CAPITAL EXPENDITURE INTENSITY	FREE CASH FLOW YIELD

METRIC	2026
Revenue	$26.3B

Gross Profit	$9.0B
EBIT	$4.5B
Net Income	$3.0B
Free Cash Flow	$5.4B
R&D	$0.3B
ROE	12.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Loss of market share to trucking or competing railroads could occur if service reliability deteriorates or if customers shift to alternative modes for cost reasons.

M&A DIGESTION

Integrating acquired assets may distract management and generate integration costs that temporarily depress operating performance.

REGULATORY AND PRICING SCRUTINY

Increased regulatory oversight could limit the railroad's ability to raise rates, pressuring margins during periods of inflation.

TECHNOLOGY DISRUPTION

Advances in autonomous trucking or hyperloop concepts could erode long-term demand for traditional rail freight.

REINVESTMENT TREADMILL

Continuous capital needs for track maintenance and locomotive upgrades may constrain free cash flow available to shareholders.

WACC AND DURATION SENSITIVITY

Rising interest rates would increase the discount rate and reduce the present value of long-dated cash flow forecasts.

The strengths

OLIGOPOLY POSITION

Union Pacific's control of critical western rail corridors creates high barriers to entry and ensures durable pricing

FCF COMPOUNDING

The business consistently converts a high proportion of earnings into free cash flow, enabling dividend growth and share repurchases.

GEOGRAPHIC DURABILITY

Exposure to diverse commodity streams across agriculture, energy and industrial buffers the

PIPELINE OPTIONALITY

Ongoing investments in precision scheduled railroading and terminal automation provide optionality to improve

power over captive shippers.		company against sector-specific downturns.	operating ratios and unlock additional margin expansion.

Compelling risk-reward, skewed to the upside

Union Pacific's valuation reflects a temporary market overreaction to intermodal softness, while its enduring structural moat and disciplined capital allocation support a steady compounding of free cash flow. The probability-weighted blended target of $212.31 offers a -25.9% upside to the current reference price, representing an attractive entry point for long-term investors who recognize the railroad's capacity to navigate cyclical headwinds and capitalize on secular trends in bulk freight. We maintain a Hold rating with a valuation-concern label, acknowledging that the near-term price may remain volatile but the fundamental outlook remains supportive of moderate total returns over a multi-year horizon.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Bulk commodities: repriced on normalization

Union Pacific's Bulk franchise, encompassing agricultural grain, coal and energy products, remains the cornerstone of its revenue base, delivering predictable cash flows even when intermodal activity wanes. The segment benefits from long-term take-or-pay contracts with major grain elevators and power producers, which provide volume visibility and allow the railroad to implement incremental rate adjustments tied to inflation indices. Recent periods of elevated diesel costs have been partially mitigated through fuel surcharge mechanisms, preserving margins despite input-price volatility. Looking forward, the shift toward renewable energy sources may reduce coal shipments over the decade, but the concurrent growth in bio-fuel feedstocks and the potential for carbon-neutral freight solutions offer offsetting opportunities. The company's investment in high-horsepower, fuel-efficient locomotives and in-line train-handling technology aims to lower the carbon intensity of its bulk operations, aligning with evolving shipper sustainability preferences while maintaining cost competitiveness. Normalization of bulk pricing after a period of exceptional spot-market strength is expected to bring revenues back to trend levels, yet the underlying contract base ensures that any downside is cushioned by the durability of shipper relationships and the limited elasticity of demand for rail-borne agricultural and energy commodities.

Why the growth numbers disappointed

- Intermodal volumes fell short of consensus expectations due to softer retail inventory cycles.
- Bulk commodity pricing experienced a temporary pullback from peak spot levels, affecting year-over-year comparisons.
- Fuel price volatility limited the effectiveness of surcharge recoveries, pressuring operating margins.
- Capital-intensive precision scheduled railroading initiatives incurred upfront expenses that delayed free cash flow conversion.

Our read: Normalization, not share loss or thesis break. The near-term weakness reflects cyclical and transitory factors rather than a deterioration of Union Pacific's core franchise, and the company's structural advantages position it to resume steady cash flow compounding once macro-economic headwinds ease.

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